

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY (CHARUSAT)

Master of Business Administration (MBA)

Post Graduate Diploma in Management (PGDM)

Semester – IV University Examination, May - 2018

MB818.3: Retail Management

Date: 19.05.2018, Saturday

Time: 10:00 A.M. to 01:00 P.M.

Maximum Marks: 70

Instructions:

- 1. This paper contains six questions, of which the last one is a case analysis.**
- 2. All questions are compulsory.**
- 3. The first five questions will carry 10 marks each and the last one (case analysis) will carry 20 marks.**

Q - 1 Compare and contrast the retail mixes of convenience stores, traditional supermarkets, supercenters and malls. Can all of these retail institutions survive over the long run? How? Why? **10**

Q - 2 How would you expect the buying decision process to differ when shopping on the internet compared with shopping in a store? What retail elements are important for each case? **10**

Q - 3 *Explain the following terms with suitable examples: (Each of 1 Mark)* **10**

- a) Brick and Click
- b) Click and Collect
- c) Cross Merchandising
- d) Retail Supply Chain
- e) Product Life Cycle
- f) Shelf Space
- g) Stock Keeping Unit
- h) Retailing
- i) Discount Store
- j) Private Label

Q - 4 **Case # 1** **10**

The fashion word is a small chain operation that specializes in women's apparel and accessories. Ever since they opened their first unit in 2000, their success had been better than anticipated. With each additional store in the organization, that now numbers five, the sales figures kept on improving. At this point in time, however, they noticed a slight dip in sales volume in three of the stores.

Since the company is a relatively small operation, they were not equipped with an in house research team to try to determine where the problem lies. The partner S. P. Jain and Mini Seth, decided to employ the service of a marketing research team to uncover the problem.

On target, a company that specializes in retail research was their choice. After 3 months of investigation it was determined that the newly opened off price venture, fashion for less, was probably the cause of the problem. Three of their units were in the same trading areas as the "value" merchant's outlets. Close inspection and analysis of their inventories revealed that some of the same lines were being sold, but at lower prices. Marquee labels such as Liz Claiborne, Ralph Lauren, and Calvin Klein were in full supply.

Fashion world had the choice to drop the designer collections that caused them unfair competition, but decided that their presence was still needed to round out their merchandise assortments. Without them, many shoppers would probably look to other merchants for these lines.

After a great deal of discussion, Jain came to the conclusion that private branding was the answer to their problem. By adding some items that were exclusive to their company, some of the sales volumes that were being lost could be made up with the new merchandise. Shoppers would not be able to find this at any other location in company's trading area, because private branding affords them the luxury of exclusivity. Seth, however, fully aware of the private-brand concept, as he once was the fashion coordinator of a major department store organization, felt that the concept was appropriate only to major merchants. At this point, the two still haven't resolved their problem.

Answer the below given questions: (Each of 5 Marks)

- a) Does private branding seem to be the answer for the company? Why?
- b) How can the location and format affect the sale of private brands?

Q - 5 Case # 2

10

Organized retailing in India is poised for exponential growth. It is expected to experience new paradigms due to the changing dynamics in areas such as demand, supply, technology, supply chain management, government policy. What are the underlying opportunities and challenges in this sector?

It is said that as consumerism is rapidly growing, rural consumers will be the biggest beneficiaries. At the same time, the retailer is expected to provide value to the customers, associates, employees and consumers. It may be noted that it is difficult to sustain retail business with such dynamics and changes taking place in the market. The need of hour is flexibility in business so that it can change according to the needs of the market.

With fast changes in rural market, some large companies are ready to enter the organized retail business in small cities and towns. The question is how far they would succeed. If they enter this field, they have to decide that whether they should focus on value retailing or lifestyle retailing. Retail cannot develop by setting up only malls. In order to promote retail we also have to promote India as a shopping destination. For this, it is necessary to give Indian retail an Indian face. While we bring in foreign formats to grow, it is very important that India develops her own format rather than just to imitate foreign malls.

Answer the below given questions: (Each of 5 Marks)

- a) How is organized retailing different from unorganized retailing? State the advantages and disadvantages of both forms.
- b) List the opportunities and threats before organized retailing.

Q-6 Case # 3

20

The retail business in all major cities in India is flourishing by launching in line business. More the retail wing of Aditya Birla Group set up. More mega buys.com dealing in 32 product categories. Tata owned Croma is going to launch its online format shortly. Shoppers Stop is adding a shopping option on its Facebook page. The early mover. Future

Group promoted future Bazar targeting daily sale of \$1 crore from its portal.

Expensive real estate triggers companies start web stores and it also solves logistics issues. Mr. Ajit Joshi, CEO of Croma notes that the reason to start on line format is to tap the youth market as the Indian youth is highly adaptable to information technology. Viral and social marketing are the order of the day. The song kolveri Di's popularity is an living example of it. Ajit Joshi points out.

Future bazaar.com, the online of future group was re-launched during 2014 through originally introduced in 2006 as a concept. Its retail product categories include fashion home and living and utilities. Mr. Kashyap Durah said. President of future bazaar is looking forward to have 10% revenue of the group to come through online platform in next few years. Future bazaars footfall is 220 million annually and its annual turnover from its retail formats such as Big Bazaar, Pantaloons and e zone is \$10000 crore. On the logistics challenges, the supply chain is managed by its sister concern Future Logistics. It also works with 30,000 vendors. The vendors directly ship products to the customer saving cost and delivery time.

Answer the below given questions: (Each of 4 Marks)

- a) What are the reasons for the success of online trading portals in India?
- b) Why the younger generation is more addicted to it than the elderly population?
- c) How far Future Bazaar.com is successful?
- d) What steps the future bazaar.com should take to increase their business?
- e) What are the solutions for the traditional office format?